Grupo Bimbo
Global Palm Oil Policy
Progress report, June2025

At the beginning of the year, we shared our Action Plan detailing the key activities planned for 2025. As part of our communication efforts, we now present this June report highlighting the progress and results achieved across our strategic workstreams.

Our Global Palm Oil Policy sets clear criteria for responsible sourcing, which apply to all our suppliers. Through the initiatives outlined in our Action Plan, we are currently addressing 97% of the palm oil volume purchased directly[1] and 98% of the indirect palm oil volume[2], demonstrating our commitment to advancing toward goals aligned with the Positive Forest approach.

Below is a summary of our main focus areas for this year:

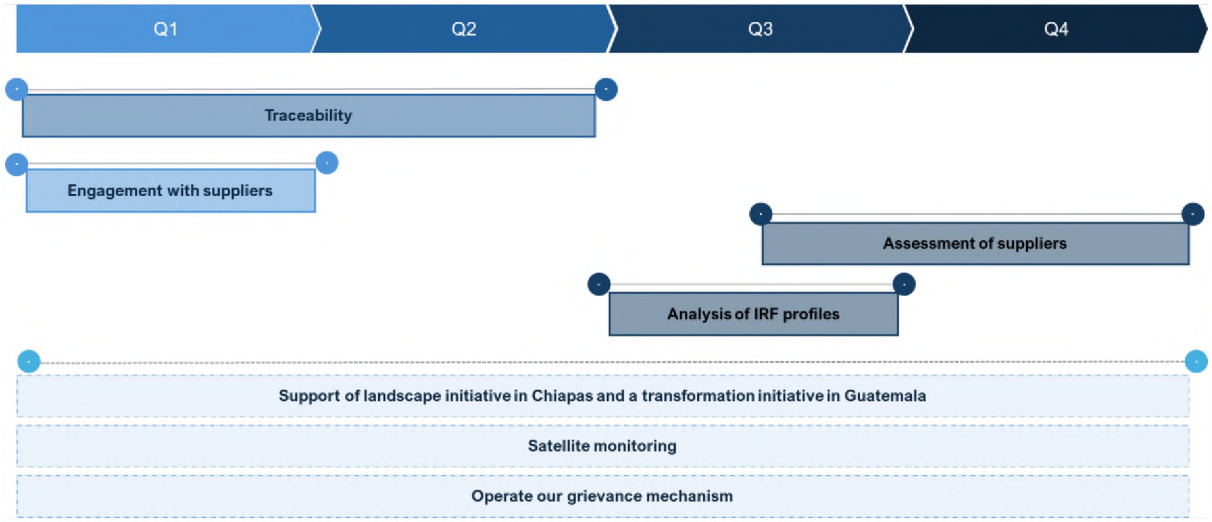


Figure 1. 2025 Action Plan summary

01 Identify palm oil origins (traceability)

During the first half of the year, we engaged with our suppliers of direct palm oil[3] to identify the origin of the palm oil we source. This year, we conducted traceability efforts covering 97% of our direct palm oil volume. Our traceability to mill (TTM) rate, calculated across total volume, reached 96%[4], meaning that nearly all our volume has visibility up to the mill level.

1 Direct palm oil: Fats and oils that contain palm oil. Direct palm oil: Fats and oils that contain palm oil. Percentage soil: Fats and oils that contain palm oil. Percentage source: Traceability exercise 2025 (FY2024)
2 Palm oil incorporated into other ingredients we source, such as chocolate, emulsifiers, among others. Percentage Source: Consolidated purchasing information 2025 (FY2024).
3 Fats and oils that contain palm oil.
4 Percentage calculated based on 100% of the direct palm oil volume. Source: 2025 Traceability Exercise (FY2024).

However, we continue to face significant challenges in achieving traceability to plantation level. Nonetheless, we remain in ongoing conversations with our suppliers to explore opportunities for improving visibility at that level. Currently, we have reached 52% traceability to plantation[5]. As every year, you can view our list of direct suppliers and associated mills.

In addition to mill visibility, it is important to understand the countries of origin for the palm oil. The chart below summarizes the identified countries of origin for palm oil and palm kernel oil.

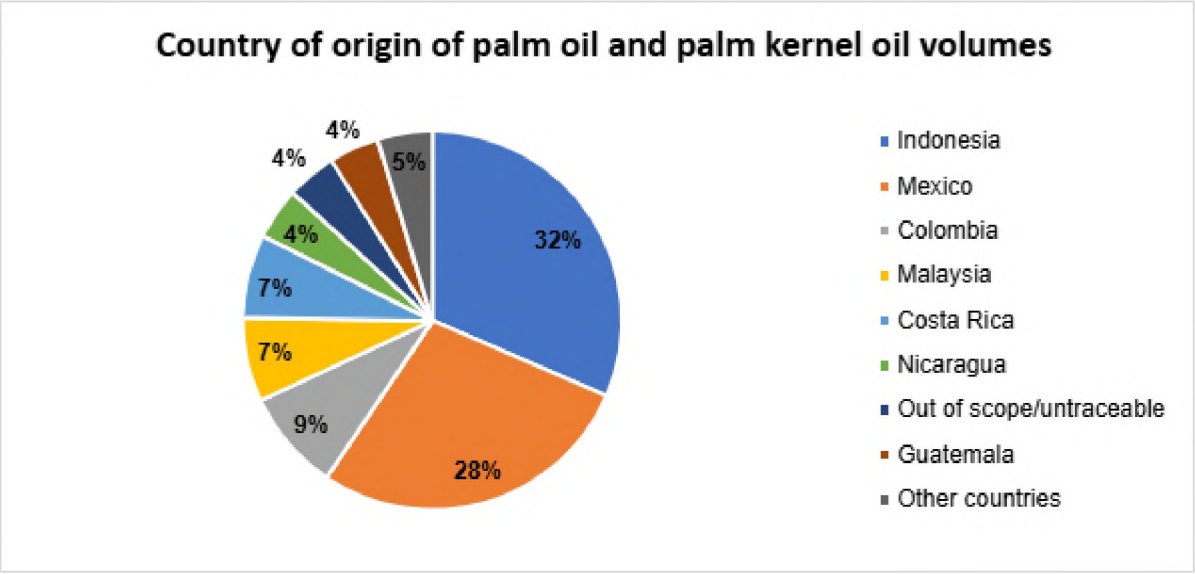


Figure 2. Country of origin of palm oil and palm kernel oil[6]

Indirect Palm Oil

Traceability for indirect palm oil[7] will be carried out during the second half of the year, and results will be shared in our December Progress Report. In the meantime, results from the previous exercise are available in the Progress Report published in December 2024. This timing aligns with the period when our suppliers typically conduct their traceability assessments, usually during the first half of the year.

02 Engage with suppliers about responsible sourcing

As highlighted in our Action Plan, a top priority is establishing clear communication with our suppliers around expectations for responsible palm oil sourcing. A key part of this effort involves

[5] Percentage calculated based on 100% of the direct palm oil volume. Source: 2025 Traceability Exercise (FY2024).

[6] Percentage calculated based on 100% of the direct palm oil volume. Source: 2025 Traceability Exercise (FY2024).

[7] Palm oil incorporated into other ingredients we source, such as chocolate, emulsifiers, among others.

monitoring their progress and understanding their sustainability maturity. These expectations align with principles established by the Consumer Goods Forum (CGF).

To follow through on our commitments, we conduct an annual evaluation of suppliers using the EPI (Engagement for Policy Implementation) survey. This year, we analyzed six suppliers to identify progress and areas for improvement. We use a tool based on recognized industry standards that scores suppliers and categorizes them based on performance. Following the assessment, we provide feedback and personalized follow-up to support continuous improvement, aiming for measurable progress in future evaluations.

This strategy applies to both our direct and indirect palm oil suppliers. Based on the evaluations conducted in 2024 and the ones that will be conducted this year, we've covered 84% of our direct palm oil volume[8] and 49% of our indirect volume[9]. To date, we have evaluated suppliers accounting for 96% of our direct palm oil volume[10] (evaluated in 2022, 2023, and/or 2024).

As sustainability expectations continue to evolve, the questionnaire is reviewed and adjusted annually. These adjustments may cause some variation in scores across different evaluation cycles. Despite this, we maintain a clear performance categorization to facilitate result interpretation:

Performance category	EPI point range
High	85%-100%
Medium	50%-84%
Low	49%-0%

Table 1. EPI performance categories

Direct Palm Oil

Considering the performance categories in Table 1, the results of the five suppliers that participated in the survey in 2024 were as follows:

EPI Performance Category	2024
High	0 suppliers
Medium	4 suppliers
Low	1 supplier

Table 1. Number of suppliers by performance category

Among those five:

- Three suppliers improved their score compared to their previous evaluation but remained in the same category.
- One supplier's performance declined.
- One supplier maintained their previous performance level.

[8] Source: 2025 traceability exercise (FY2024).

[9] Source: 2025 Consolidated purchasing volumes (FY2024)

[10] Source: 2025 traceability exercise (FY2024).

The following chart shows the volumes from direct suppliers covered by NDPE – aligned mechanisms. This is based on information from the suppliers evaluated last year and the most recent assessment available for the suppliers who will participate this year.

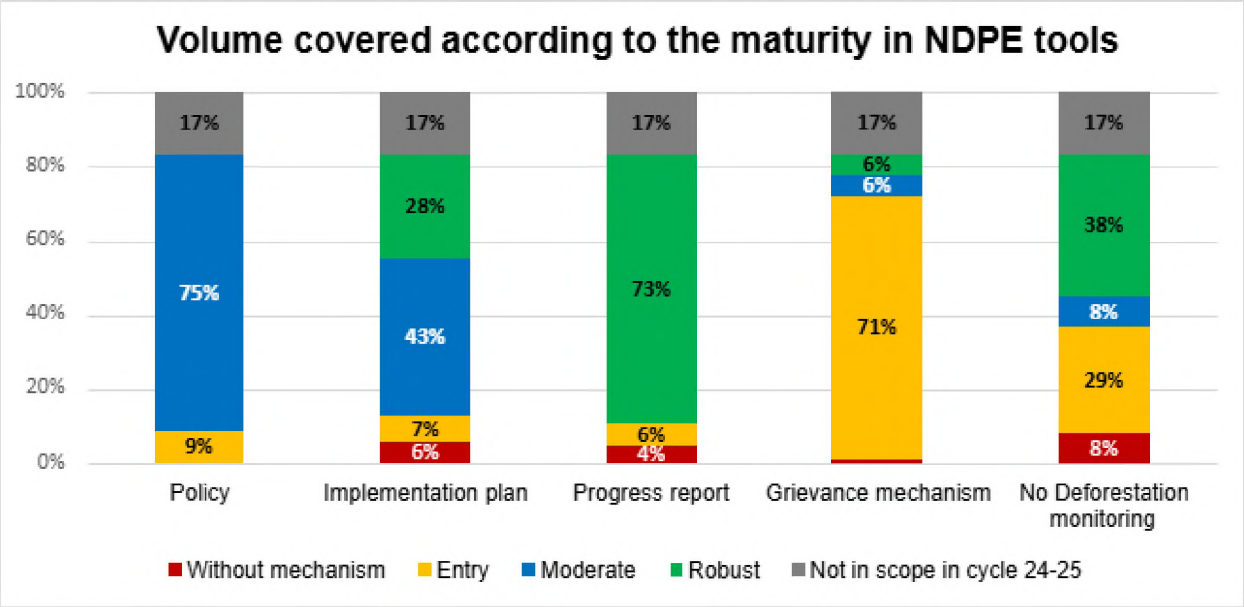


Figure 4. Volumes from direct palm oil suppliers covered by NDPE mechanisms, according to level of maturity[11]

Indirect Palm Oil

As part of our efforts with key suppliers of ingredients containing palm oil, we evaluated one such supplier in 2024. The EPI results placed the supplier in the "low" category. However, it's important to note that their score improved compared to their last evaluation in 2022.

The chart below shows volumes[12] from indirect suppliers covered by NDPE mechanisms, based on either the 2024 evaluation or the most recent available data for this year's participants.

[11] Percentage calculated based on 100% of the direct palm oil volume. Source: 2025 Traceability Exercise (FY2024)

[12] Percentage calculated based on 100% of the indirect palm oil volume. Source: Consolidated procurement data 2025 (FY2024).

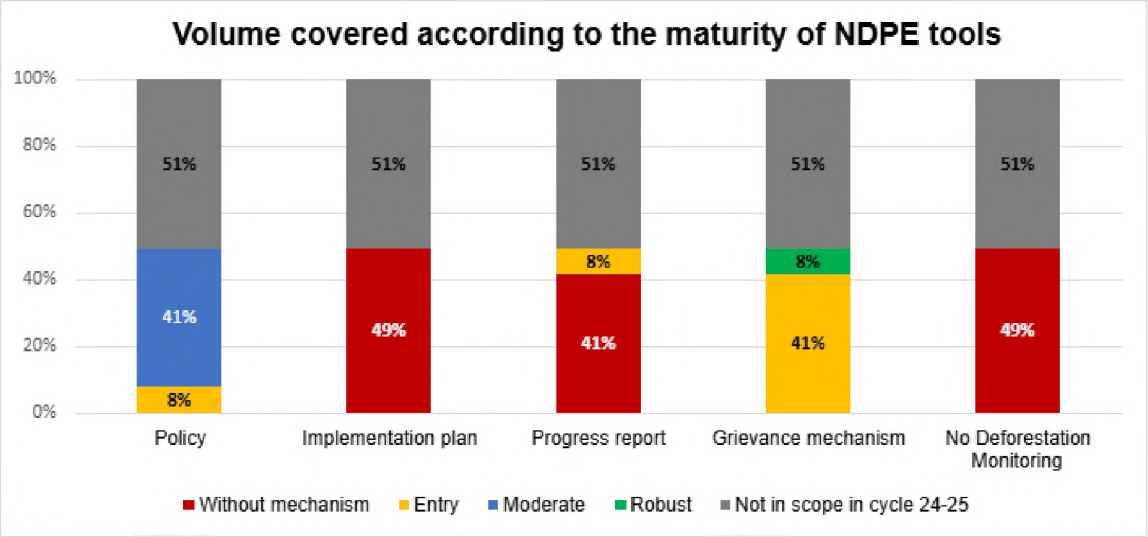


Figure 3. Volumes from suppliers of indirect palm oil covered by NDPE mechanisms, according to level of maturity[13]

03 Monitoring No Deforestation

To track our progress toward a deforestation-free palm oil supply chain, we conduct satellite monitoring of parts of our supply chain. We use the Starling platform for this, in partnership with Earthworm Foundation, which performs the analysis. The methodology used to determine the status of our volumes can be found here.

As part of this process, we classify our volumes into three categories:

- **Green:** Volumes confirmed to be deforestation–free;
- **Yellow:** Volumes lacking plantation-level traceability, making full satellite monitoring and analysis incomplete; and
- **Red:** Volumes that could be linked to potential deforestation.

As mentioned, we carry out this analysis for 100% of our direct palm oil volumes using Starling. According to the latest available report (Q4 2024)[14]:

[13] Percentage calculated based on 100% of the indirect palm oil volume. Source: Consolidated procurement information 2025(FY2024).

[14] Volumes associated with 2024 traceability (FY2023).

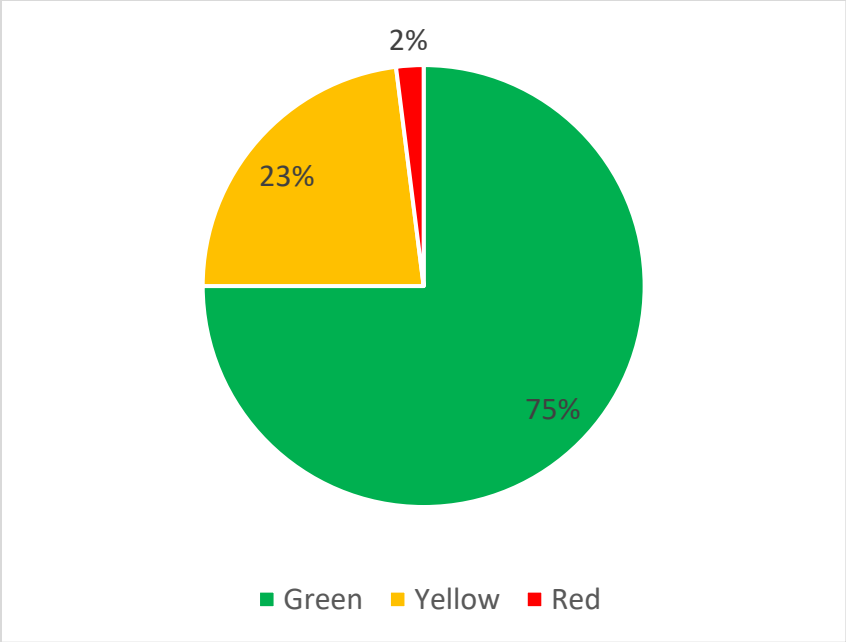


Figure 4. Results of analyses on deforestation-free volumes.

As shown in the chart above, 75% of our volumes are classified as green, representing a 15% increase compared to June 2024. Another 23% are categorized as yellow, and 2% fall into the red category.

Regarding the volumes flagged as red, Grupo Bimbo follows the "Alert Decision Tree" (in accordance with the Earthworm Foundation DCF methodology) to identify, validate, and categorize deforestation alerts in our palm oil sourcing areas. In other words, Starling and Earthworm Foundation perform an in-depth analysis to determine the validity and severity of each alert. Grupo Bimbo then collaborates closely with key suppliers to understand the context of each case and support the necessary investigations. We are actively following up on the most critical cases, working to address root causes, establish accountability, and define the required actions.

For indirect palm oil, we also assess 100% of our volume[15]. Of these, 53% are classified as deforestation-free, 45% fall into the yellow category due to insufficient information, and 2% are classified as red.

Additionally, we use NDPE IRF profiles to assess our supply chain in terms of deforestation. These profiles help us understand our suppliers' progress in aligning their supply chains with NDPE (No Deforestation, No Peat, No Exploitation) commitments. This information is requested from our suppliers during the second half of the year, and the results will be included in our year-end report. You can review our most recent results in the December 2024 Progress Report.

[15] Volume associated to 2024 traceability (FY2023)

04 Support transformation initiatives

At Grupo Bimbo, we believe that a sustainable supply chain is essential, which is why we actively participate in two transformation initiatives that drive environmental and social improvements in key regions where we source our raw materials. These initiatives were selected for their importance to Grupo Bimbo. Alongside other companies, we co-finance these two projects, which promote three key goals: protecting forests, strengthening labor rights, and supporting smallholder farmers.

Below is a summary of the main activities carried out during the first half of the year as part of this collective commitment:

Chiapas

This initiative focuses on four key areas: improving supply chain practices, conserving and restoring ecosystems, strengthening the resilience of local producers, and promoting more environmentally respectful farming practices.

1) **Supply Chain Transformation**



In the first quarter, two follow-up meetings were held with a social mill to agree on the 2025 work schedule and continue implementing the Sustainability Policies (SP) and the Responsible Sourcing Program (RSP). These meetings included members of the mill's leadership and sustainability teams and aimed to align on the year's work plan.

It is important to highlight that the mill now recognizes both its Sustainability Policy and its Responsible Sourcing Program as guiding tools in advancing its sustainability commitments. This marks a significant step forward in policy implementation and is a notable outcome of this transformation initiative.

2) **Ecosystem restoration and protection**

During the first quarter, meetings were held with the National Commission of Natural Protected Areas (CONANP) and another civil society organization to develop a work plan for advancing restoration and conservation efforts within the La Encrucijada Reserve. The plan also included follow-up on the productive reconversion strategy and the removal of scattered oil palm trees within the core area of the reserve. As part of this effort, it was agreed to implement productive reconversion actions across 30 hectares in two communities: Las Lauras and El Herrado.

3) **Resilient producers**

Earthworm Foundation has partnered with other civil society organizations to support the landscape project. For instance, in collaboration with an NGO, conversations have been held with the community of El Herrado to scale up the productive reconversion initiative. Engagement began with two oil palm producers to develop Integrated Plot Plans (PIP) focused on productive reconversion, supporting compliance with the Reserve's management plan. In the same community, three producers were trained in the production of organic fertilizers.

As part of ongoing support for the cocoa diversification group, an activity planning meeting was held earlier this year with eight oil palm-cocoa producers. Additionally, a workshop on best practices in cocoa farming was conducted with four producers.

4) **Ecological farming**

A knowledge exchange took place between the oil palm-cocoa group and a group of oil palm farmers already implementing agroecological practices. The aim was to share these best practices and allow producers to discuss their experiences transitioning toward sustainable agriculture.



Guatemala

As part of our commitment to responsible sourcing, we have identified Guatemala as a key region in our Latin American palm oil supply chain. This region continues to face significant challenges related to human rights and labor conditions, presenting an opportunity to drive structural improvements in the sector. To this end, we co-financed an initiative led by Earthworm Foundation in coordination with GREPALMA, the country's palm oil producers' association. This joint effort seeks to raise social standards in the palm industry and build trust between companies and stakeholders.

The initiative focuses on strengthening institutional capacities within the sector and improving business practices related to human rights. The actions target both GREPALMA members and non-member companies and are structured around two main strategies aimed at driving long-term, sustainable change.

1) **Supplier level:** Efforts are tailored to each company's specific needs. During the first half of the year, the initiative focused on conducting a due diligence visit to a supplier to assess its social, environmental, and labor practices. Based on this visit, a set of recommendations was issued, and the company is now working on an Action Plan to address them.

2) **Sector level (GREPALMA):** Palm oil companies are receiving training on key topics related to responsible sourcing.
This year, efforts have centered on developing an online learning platform to build capacity within the palm oil sector. The platform will include content on due diligence and regulatory frameworks from the European Union and the United States.



05 Operate our grievance mechanism

At Grupo Bimbo, we have a process in place to address complaints related to the responsible sourcing of our raw materials. You can learn more about this procedure at the following link.

06 Communicate our work in responsible sourcing

We will share updates on the activities carried out during the second half of the year in our December progress report.